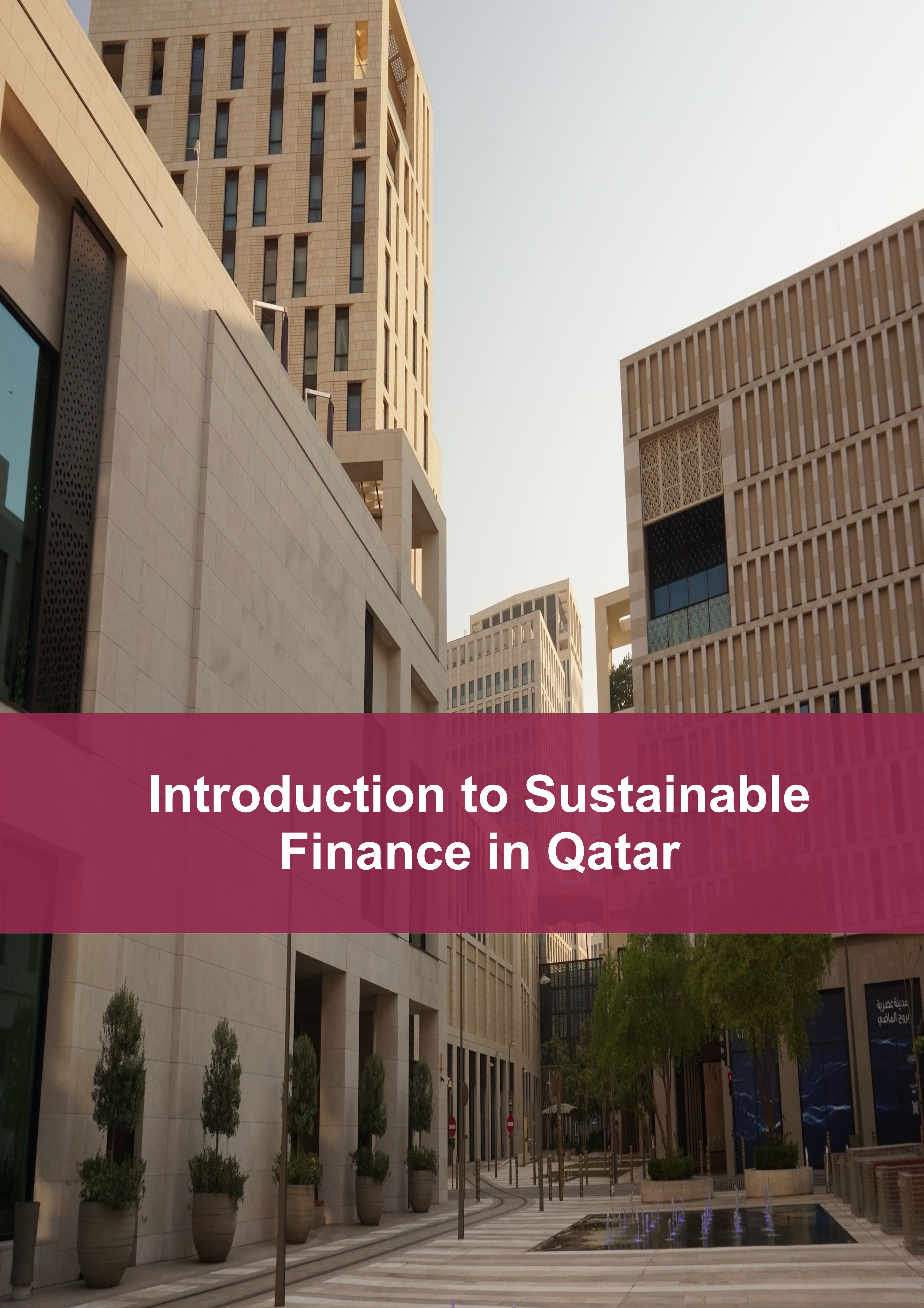
مصرف قطر المركزي
Qatar Central Bank
State of Qatar • دولة قطر

2025 Sustainable Finance Framework

Contents



Introduction to Sustainable Finance in Qatar

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Purpose of these guidelines

These guidelines represent a pivotal step toward catalyzing the adoption of sustainable finance practices within Qatar's financial sector, fostering a shift toward finance instruments that deliver positive environmental and social outcomes alongside financial returns for the State of Qatar. This initiative has a core dual purpose: to boost sustainable finance volumes and to encourage widespread adoption of sustainable finance principles among financial sector stakeholders.

In pursuing these objectives and the transformative potential of finance as a force for sustainable development, the State of Qatar has undertaken several policy-related and strategic planning efforts to promote the alignment of the economy with the opportunities in the field of sustainability and its positive impact across society.

The Sustainable Finance guidelines are strategically developed to regulate sustainable finance and sustainability-linked finance, unlock new opportunities for growth and innovation in Qatar, and provide market guidance on how these instruments can be channeled and adopted within the State of Qatar.

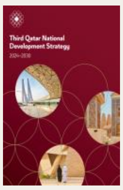
<u>Sustainable finance offers benefits for both borrowers and creditors:</u>

For borrowers, embracing sustainable finance practices can enhance their reputation and attractiveness to sustainability-conscious investors, thereby broadening their access to capital and potentially lowering their cost of capital for sustainable projects over time. Additionally, integrating environmental, social, and governance (ESG) considerations into their operations can lead to greater resource efficiency, mitigated risk, and increased resilience to environmental and social shocks – ultimately improving long-term financial performance.

For creditors, sustainable finance presents opportunities to align their portfolios with broader national goals, mitigate risks associated with environmental and social issues, and access new markets and investment opportunities. By incorporating ESG criteria into their financing decisions, creditors can mitigate ESG risks, better assess creditworthiness, enhance their reputation, and contribute to positive environmental and social outcomes, while also potentially achieving competitive advantages in financial markets.

Context of sustainable finance in Qatar

Exhibit 1*: Summary of main policies and strategic plans relevant for sustainable financing in Qatar*

Policy / strategic plan			
2008		**Qatar National Vision**	**Foresees development through four interconnected pillars:** 1) Economic development 2) Social development 3) Environmental development 4) Human development
2021		**Qatar National Environment and Climate Change Strategy**	**Features five priority areas:** 1) GHG emissions reductions and air quality enhancement 2) Biodiversity protection 3) Water sustainable management adoption 4) Circularity for materials and waste 5) Sustainable land use and land planning
2023		**Third Financial Sector Strategic plan**	**Highlight 5 cross cutting themes, which include "ESG and sustainability" outlining:** 1) Ensure a well-defined and consistent approach across pillars 2) Ensuring all sectors meets the evolving ESG expectations and standards 3) Support and facilitate green innovation and products across pillars
2024		**Qatar National Development Strategy**	**Highlights seven outcomes:** 1) Sustainable economic growth 2) Fiscal sustainability 3) Versatile workforce 4) Cohesive society 5) High standard of living 6) Environmental sustainability 7) Distinguished government entities
2024		**ESG and Sustainability strategy for the Financial Sector**	**Anchored around 3 pillars, for which aspirations and specific outcomes have been defined:** 1) Financial sector climate, environmental and social risk management 2) Capital mobilization towards sustainable finance 3) A central bank leading by example on ESG and sustainability

Qatar National Vision 2030

Outlines the vision and enablers for achieving Qatar National Vision 2030 targets, such as financial and nonfinancial support mechanisms that help incubate and grow small and medium-sized enterprises and that mobilize capacities and efforts to tackle problems that climate change brings about.

Qatar National Environment and Climate Change Strategy

Considers the provision of financial resources as one of the critical facilitators for the deployment of state-of-the-art environmental and climate mitigation and adaptation technologies.

Third Financial Sector Strategic Plan

It enhances the ability of the financial system to support national sustainability goals and increase the flexibility of the financial system in the face of changes resulting from the transition to a sustainable economy, with the ambition to inspire others at the regional and global levels.

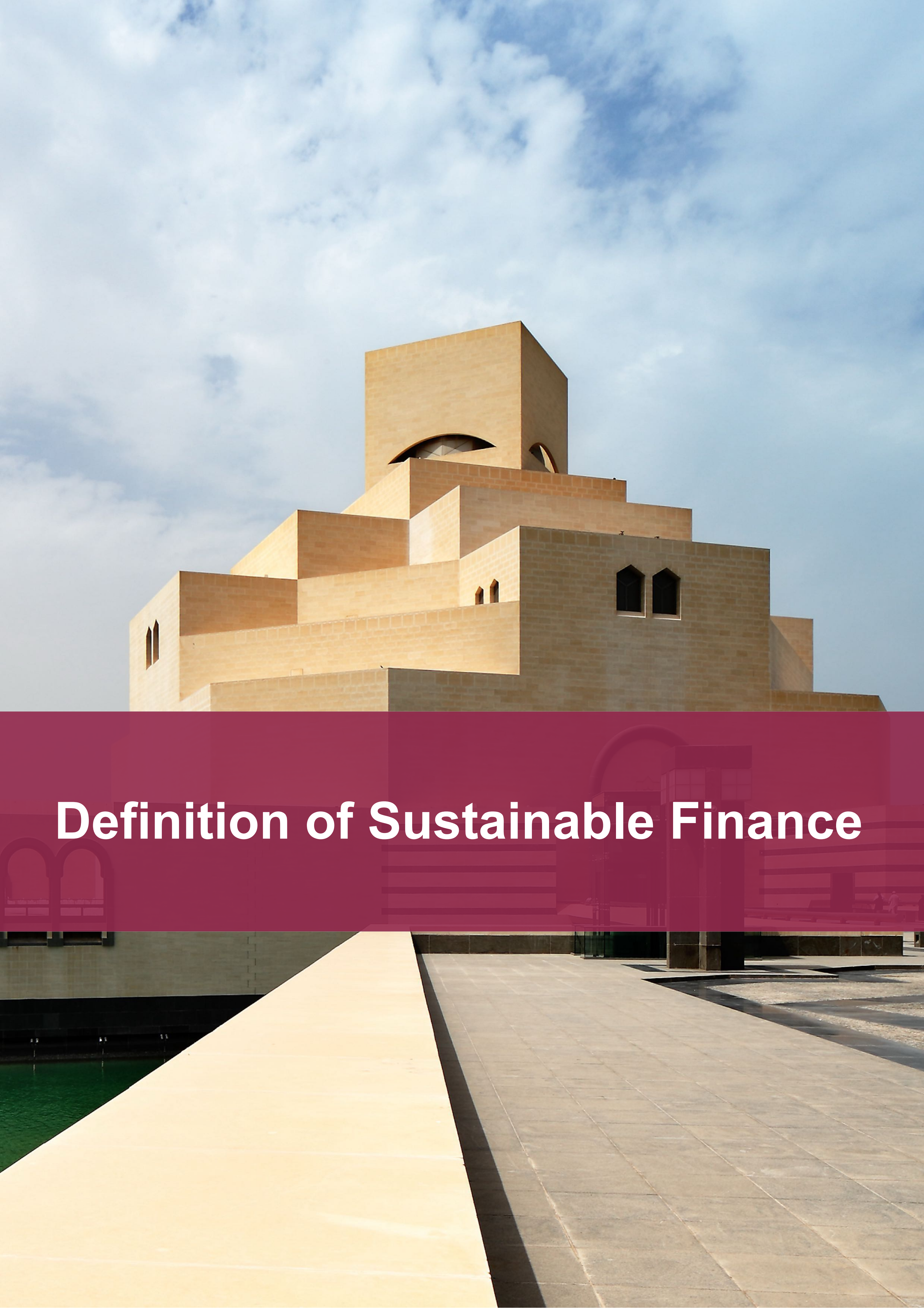
Qatar's Third National Development Strategy

Details targets for the increase of public and sovereign green funding, for scaling up private mobilization and blended capital, the growth in finance for small and medium-sized enterprises, and the financing for envisioned and emerging green-tech clusters.

Qatar Financial Sector ESG and Sustainability Strategy

Envisions Qatar as a leading hub for sustainable finance innovation and capital mobilization, by introducing an industry wide sustainable finance framework supporting the national objectives, strengthening contribution of the financial sector in mobilizing the capital needed for the transition to a sustainable economy, and providing a diversified and innovative lens on ESG products and capital markets.

Definition of Sustainable Finance



Definition of Sustainable Finance

Definitions of sustainable finance products in Qatar are aligned with the Loan Market Association (LMA) principles (for example, Green Loan Principles, Social Loan Principles, and Sustainability-Linked Loan Principles).

Sustainable Finance

Sustainable finance is any type of credit (Ordinary or Islamic compliant) direct (such as bonds/sukuk)[1] or indirect facilities (such as, guarantee letters, or letters of credit) made available exclusively to finance, refinance, or guarantee, in whole or in part, new and/or existing eligible green, social, or sustainable projects.

Sustainability-Linked Finance

Sustainability-linked finance are any type of credit (Ordinary or Islamic compliant) direct or indirect facilities for which the economic characteristics can vary depending on whether the borrower achieves ambitious, material, and quantifiable sustainability performance objectives, measured by applying predefined KPI's and sustainability performance targets (SPTs).

Islamic Sustainable Finance

Islamic sustainable finance integrates Sharia-compliant credit instruments with principles of green and social finance, aiming for long-term responsible economic development by addressing social and environmental factors. Its guiding principles are defined as follows:

Compliance with Shariah Controls

Compliance with the regulations and instructions issued by Qatar Central Bank in this regard, with approval from the bank's Shariah Supervisory Board regarding the issued products.

Compliance with Sustainable Finance Standards

The products must align with the "Definition of Sustainable Finance," ensuring that its guidelines are applied to Islamic sustainable finance products, including both sustainable and sustainability-linked financing solutions.

1. This framework defines all sustainable finance instruments. However, bonds and sukuk will be regulated by a separate framework.

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Process comparison between ordinary credits, sustainable credits, and sustainability-linked credits

Exhibit 2: *illustration of the differences between the issuance flow of ordinary, sustainable and sustainability-linked credits*.

Process	Ordinary credit	Sustainable credit	Sustainability-linked
Borrower preparation	▪ Consideration of a project plan ▪ Preparation of necessary documents	▪ Consideration of the scope of projects ▪ Examination of the process for Green and Social Project evaluation and selection ▪ Calculation of expected environmental and social benefits ▪ Consideration of proceeds management and reporting methods ▪ External review or development/implement of self-evaluation	▪ KPI selection and calibration of SPTs ▪ Determination of credit characteristics relative to achievement of SPTs ▪ Define external review framework or develop ESG performance disclosure approach ▪ Examine reporting method
Selection and review	▪ Interview ▪ Submission of review documents	▪ Same as ordinary credit	▪ Same as ordinary credit
Content and implementat-ion	▪ Determination of borrowing conditions and credit agreement ▪ Implementation of credit	▪ Same as ordinary credit	▪ Same as ordinary credit
Management of proceeds	▪ Management of proceeds ▪ Allocation of proceeds to projects	▪ Tracing and management of Green and Social projects proceeds	▪ Same as ordinary credit
Repayment and disclosure	▪ Implementation of projects ▪ Reporting as appropriate (monitoring)	▪ Calculation and reporting of environmental benefits ▪ Use of an external review	▪ Measurement and reporting of performance levels of each KPI against SPTs ▪ Verification by external reviewer
Repayment	▪ Redemption Based on the Contract ▪ Refinancing (if necessary)	▪ Same as ordinary credit	▪ Same as ordinary credit

Implementation Principles for Sustainable Finance

Implementation Principles for Sustainable Finance

Sustainable finance: Core components of sustainable credits

Definition and use of proceeds

The fundamental determinant of a sustainable finance is the utilization of the credit proceeds for green, social, or sustainable finance projects (including other related and supporting expenditures, such as research and development), which should be appropriately described in the finance documents, and, if applicable, in the marketing materials for the sustainable finance. All designated sustainable projects should provide clear environmental or social benefits, which will be assessed and, where feasible, quantified by the borrower. Where funds are to be used (in whole or in part) for refinancing, it is recommended that borrowers provide an estimate of the share of financing versus refinancing. Where appropriate, borrowers should also clarify which investments or project portfolios may be refinanced, and the expected look-back period for refinanced eligible sustainable finance projects.

Typical green projects include (for example and not limited to): renewable energy, clean transportation, energy efficiency, sustainable water and wastewater management, pollution prevention and control, climate change adaptation, environmentally sustainable management of natural resources and land use, eco-efficient products, products adapted to the circular economy, production technologies and processes, terrestrial and aquatic biodiversity conservation, and green buildings.

Similarly, typical social projects include (for example and not limited to): affordable housing, employment generation, programs designed to prevent and alleviate unemployment stemming from socioeconomic inequality, microfinancing and financing for small and medium-sized enterprises, food security and sustainable food systems (for example, assuring safe access to food that meets the needs and requirements; resilient agricultural practices; reduction of food loss and waste; and improved productivity of small-scale producers), and socioeconomic advancement and empowerment (for example, equitable access and control over assets, services, resources, and opportunities; equitable participation and integration into the market and society, including reduction of income inequality).

Some typical target populations for social projects include – for e.g., emerging entrepreneurs, educational applicants, sustainable development projects owners.

Evaluation and selection

Borrowers of sustainable finance should clearly communicate the following to their creditors:

- The environmental or sustainability objective(s) of the green or social project(s).
- The process by which the borrower determines how the project(s) to be funded fit(s) within the eligible green or social project categories.
- Complementary information on the processes by which the borrower identifies and manages perceived, actual, or potential environmental and social risks associated with the relevant project(s).

Borrowers are also encouraged to do the following:

- Position the information communicated above within the context of their overarching objectives, strategy, policy, and processes relating to environmental and social sustainability.
- If relevant, provide information on the alignment of the project(s) with official or market-based taxonomies and related eligibility criteria, and disclose any standards or certifications referenced in project selection.
- Have a process in place to identify mitigants to known or potential material risks of negative social and environmental impact of the relevant project(s). Such mitigants may include a clear and relevant trade-off analysis and monitoring where the borrower assesses the potential risks to be meaningful.

Management of proceeds

The proceeds of a sustainable credit should be credited to a dedicated account or otherwise tracked by the borrower in an appropriate manner, so as to maintain transparency and promote the integrity of the product.

Management of proceeds should be attested to by the borrower in a formal internal process linked to the borrower's credit provider and investment operations for green and social projects. The borrower should make any intended types of temporary placement for the balance of unallocated proceeds known to the credit provider.

Where a sustainable finance takes the form of one or more tranches of a credit facility, each tranche applicable to the green or social or sustainable project must be clearly labelled, with proceeds of the sustainable finance tranche(s) credited to a separate account or otherwise tracked by the borrower in an appropriate manner. To avoid doubt, a facility cannot be labelled "Sustainable" if it includes a non-sustainable tranche; the "Sustainable" label applies only to tranche(s) aligned with the four core components of the Sustainable loans Principles developed by the LMA.

The proceeds sustainable finance can be managed per credit (credit-by-credit approach) or on an aggregated basis for multiple sustainable credits (portfolio approach).

Reporting

Borrowers should have readily available up-to-date information on the use of proceeds. Such information is to be renewed annually until the sustainable credit is fully drawn (or until the credit matures, in the case of a revolving credit facility), as well as on a timely basis in the event of material developments. This annual report should include a list of the sustainable finance to which the green and social credit proceeds have been allocated and a brief description of the projects, the green, social and sustainable objectives, the target populations, the amounts allocated, and their expected and achieved impact. Where confidentiality agreements, competitive considerations, or a large number of underlying projects limit the amount of detail that can be made available, the LMA recommends that information is presented in generic terms or on an aggregated portfolio basis (for example, the percentage allocated to certain project categories). Information need only be provided to those institutions participating in the credit.

Transparency is of particular value in communicating the expected and achieved impact of projects. The LMA recommends the use of qualitative performance indicators and, where feasible, quantitative performance measures (for example, the number of beneficiaries, especially from target populations) and disclosure of the key underlying methodology and assumptions used in the quantitative determination. Borrowers with the ability to monitor achieved impacts are encouraged to include these in regular reports to those institutions participating in the credit.

Sustainability-linked credits: Core components of sustainability-linked credits

KPI selection

Sustainability-linked credits aim to support a borrower's efforts in improving its sustainability profile over the term of the credit. They do so by aligning credit terms to the borrower's performance, which is measured using one or more sustainability KPIs, which can be internal and external.

First and foremost, the KPIs must be material to the borrower's core sustainability and business strategy, and address relevant ESG challenges of its industry sector.

The credibility of the sustainability-linked credit will rest on the selection of KPI(s). It is important to the success of the credit to avoid the proliferation of KPIs that are not credible.

The KPIs must be:

- Relevant, core, and material to the borrower's overall business, and of high strategic significance to the borrower's current and future operations.

- Measurable or quantifiable on a consistent methodological basis.
- Able to be benchmarked (i.e., as much as possible using a globally accredited references and definitions to facilitate the assessment of the SPT level of ambition).

A clear definition of the KPI(s) should be provided by the borrower and should include the applicable scope or parameters, the calculation methodology, and a definition of a baseline, and be benchmarked against an industry standard or industry peers, where feasible.

Selection and calibration of sustainability performance targets (SPT's)

The calibration process of SPTs per KPI is key to structuring sustainability-linked credits, since it expresses the level of ambition the borrower is ready to commit to.

The SPTs must be and remain relevant (as long as applied) and ambitious throughout the life of the credit. It is therefore recommended that an SPT should be set per KPI for each year of the credit term. In instances where a strong rationale is provided as to why it is not appropriate, exceptions to the annual frequency of SPTs can be agreed between the borrower and credit provider. The borrower should, where possible and with competition and confidentiality considerations acknowledged, highlight any strategic information that may decisively impact the achievement of the SPTs.

The SPTs should be ambitious and consider the following factors:

- Represent a material improvement in the respective KPIs and go beyond both a "business as usual" trajectory and the required regulatory targets.
- Where possible, be compared to a benchmark or an external reference.
- Be consistent with the borrower's overall sustainability strategy.
- Be determined on a predefined timeline, set before or concurrently with origination of the credit.

Market participants recognize that any SPTs should be based on recent performance levels and a combination of benchmarking approaches:

- The borrower's own performance over time, for which a minimum of 3 years of measurement track record on the selected KPIs is recommended (where feasible).
- The borrower's peers, i.e., the borrower's relative performance versus that of its peers, where data is available (average performance, best-in-class performance), and comparable or current industry or sector standards.
- Reference to the science, i.e., systematic reference to science-based scenarios or absolute levels (for example, carbon budgets), to official regional, national, or international targets (The Paris Agreement on climate change, net-zero goals, Sustainable Development Goals), or to recognized best-available technologies or other proxies to determine relevant targets across ESG themes.

Information provided to credit providers with respect to target setting should make clear reference to:

- The timelines for SPT achievement, including the target's observation date(s)/period(s), trigger event(s), and frequency of review.
- The verified baseline or science-based reference point selected for improvement of KPIs, as well as the rationale for that baseline or reference point to be used (including date/period).
- In any situation where adjustments or recalculations of baselines and KPIs and subsequent SPTs will take place.
- How the borrower intends to reach such SPTs (for example, by describing its ESG strategy, supporting ESG governance and investments, and operating strategy), taking competition and confidentiality considerations into account.
- Any other key factors beyond the borrower's direct control that may affect the achievement of the SPTs.

Appropriate KPIs and SPTs should be determined and set between the borrower and credit provider group for each transaction.

A borrower may elect to structure its sustainability-linked credit with the assistance of one or more "sustainability coordinators." Where appointed, they will assist with informing the borrower of the market situation regarding the KPIs and SPTs and facilitate dialogue between the borrower and the credit provider in regard to substantiating the SPTs and answering any ESG-related questions the prospective credit provider might have.

It is recommended that borrowers seek input from an external party pre-signing; for example, via a second-party opinion or KPI/SPT assessment. In the second-party opinion, external reviewers should assess the relevance, robustness, and reliability of selected KPIs, the rationale and level of ambition of the proposed SPTs, the relevance and reliability of selected benchmarks and baselines, and the credibility of the strategy outlined to achieve them, based on scenario analyses, where relevant. Post-signing, in case of any material changes to parameters, KPI methodology, or SPT calibration, borrowers are encouraged to ask external reviewers to assess these changes.

In cases where no external input is sought, it is strongly recommended that the borrower demonstrates and develops the internal expertise to verify its methodologies. Borrowers are recommended to thoroughly document such expertise, including the related internal processes and expertise of their staff. This documentation should be communicated to credit providers participating in the credit on request.

Sustainability-linked credit characteristics

A key characteristic of a sustainability-linked credit is that an economic outcome is linked to whether the selected predefined SPTs are met. For example, the margin under the relevant credit agreement will often be reduced if the borrower satisfies a predetermined SPT, as measured by the predetermined KPIs and vice versa. In some cases, where a strong rationale is provided, the ratchet may include a neutral bracket in which no margin adjustment applies.

Reporting

At least once per year, borrowers should provide the credit providers participating in the credit with the following:

- Up-to-date information that is sufficient to allow them to monitor the performance of the SPTs and to determine whether the SPTs remain ambitious and relevant to the borrower's business.
- A sustainability confirmation statement with a verification report attached, outlining the performance toward the SPTs for the relevant year and the related impact on the credit's economic characteristics, including the timing of that impact.

As transparency is of particular value in this market, borrowers are encouraged to publicly report information relating to their SPTs, including details of any underlying methodology of SPT calculations or assumptions. This information will often be included in a borrower's integrated annual report or sustainability report. However, this will not always be the case, and, where appropriate, a borrower may choose to share this information privately with the credit providers rather than making it publicly available.

Verification

Borrowers must obtain independent and external verification of the borrower's progress toward each SPT for each KPI for any date/period relevant for assessing the SPT performance. This might lead to a potential adjustment of the economic characteristics of sustainability-linked credits after the last SPT trigger event of the credit has occurred.

This is a necessary element of the sustainability-linked credit and should be conducted by a qualified external reviewer with relevant expertise, such as an auditor (by way of limited or reasonable assurance), environmental consultant, or independent ratings agency.

The verification of the credit's performance against the SPTs must be shared with the credit providers in a timely manner and be made publicly available where appropriate.

As opposed to an external review pre-signing, which is recommended, post-signing verification is a necessary element of the sustainability-linked credit.

Once reporting has been completed and verification has taken place, the credit providers will evaluate the borrower's progress toward the SPTs and KPIs based on the information available.

External Review

External Review

Where appropriate, it is recommended that borrowers appoint one or more external review providers to assess the alignment of their sustainable or sustainability-linked finance with the core components of the LMA Principles for Sustainable and sustainability-linked Credits. given that the credit environment is a relationship-driven market between borrowers and credit providers, therefore credit providers are likely to have a broad working knowledge of borrowers and their activities. Self-certification by a borrower, which highlights whether it had been demonstrated or developed the internal expertise to confirm alignment of the sustainable or sustainable-related credit with the key features of the LMA, may be sufficient.

Borrowers are recommended to thoroughly document such expertise, including the related internal processes and expertise of their staff. This documentation should be communicated to institutions participating in the credit on the basis agreed between the parties in the legal documentation. Taking confidentiality and competitive considerations into account, borrowers are recommended to make the parameters on which they assess green and social projects, as well as the internal expertise they have to assess such parameters, publicly available via their website or an equivalent means of publishing.

In the context of Qatar, borrowers and credit providers should consult the local rules for external review and verification from financial sector regulatory authorities on the different types of reviews under the scope of sustainable financial products, including:

1. Review what is necessary regarding the compatibility of the sustainable or sustainability-linked credits granted with the sustainable finance guidelines, through the QCB’s periodic inspection process.
2. After full allocation of proceeds, an external review by a specialized and certified external auditor, to determine the allocation of the proceeds in alignment with the allocation reporting requirements.